Ferrari N.V. (NYSE: RACE | BIT: RACE)

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Initiating Coverage (April 2026 update) | Luxury Goods / Consumer Discretionary

RATING	PRICE TARGET	CURRENT PRICE	UPSIDE
OVERWEIGHT	$480	$351.95	+36.4%

"The Luce Catalyst: Market Is Pricing Ferrari Like BMW. We Think It's Hermès."

KEY STATISTICS (FY2025A reported Feb 10, 2026)	
Fiscal Year End	**December**
Diluted Shares	**178.3M**
Market Cap	**~$62.8B USD**
Enterprise Value	**~$62.8B USD**
Net Industrial Debt	**€32M (0.01× EBITDA)**
FY2025A Revenue	**€7,146M (+7.0% YoY)**
FY2025A EBITDA	**€2,772M (38.8% margin)**
FY2025A Deliveries	**13,640 units**

VALUATION SUMMARY	
52-Wk High / Low	**$519.10 / $328.00**
Vs. 52-Wk High	**–32.2% ← entry point**
DCF Intrinsic Value	**$386/share**
Comps (27× '26E EBITDA)	**$539/share**
Blended PT (40%/60%)	**$480/share**
Base WACC	**7.4% (luxury β=0.75)**
Current EV / '26E EBITDA	**17.6×**
Analyst Consensus PT	**$495 (Strong Buy)**

EXECUTIVE SUMMARY

We initiate coverage of Ferrari N.V. (RACE) with an **OVERWEIGHT** rating and a **$480 price target**, implying 36.4% upside from the current $351.95. The stock has pulled back 32.2% from its 52-week high of $519.10 — not because the business deteriorated, but because the market applied an EV-fear discount borrowed from legacy automakers. We believe that discount is misplaced.

Ferrari's unveiling of the **Luce** on April 21, 2026 — its first fully electric vehicle, with an interior designed with LoveFrom and priced at ~€550K, above the fleet ASP — is the inflection point the market has been waiting for. Unlike BMW or Mercedes, where EV transitions mean margin compression and pricing pressure, Ferrari's Luce is an *ASP accelerant*: a vehicle that commands a premium because of scarcity, design provenance, and brand positioning, not despite EV technology but *through* it.

Our blended $480 PT weights DCF intrinsic value 40% ($386) and a trading comps re-rating to 27× FY2026E EBITDA 60% ($539), versus 17.6× today and 38× for Hermès. Analyst consensus stands at $495 (Strong Buy); our target is 3% below consensus.

INVESTMENT THESIS — FOUR VALUE CREATION DRIVERS

1. The Luce EV Is an ASP Accelerant, Not a Margin Headwind

Legacy automakers lose margin on EVs because they sell high volumes at prices constrained by competitive dynamics. Ferrari operates from a fundamentally different position: demand always exceeds supply, and the Luce will be the most expensive production Ferrari ever made, at ~€550K vs. a fleet ASP of ~€520K. First deliveries begin October 2026, so the full ASP effect lands in FY2027E, where we model 7% ASP growth and EBITDA margin of 40.0% (vs. 38.8% in FY2025A).

2. The Multiple Re-rating Opportunity: BMW Fear Is Wrong

RACE peaked at ~37× EV/EBITDA in 2023. At $351.95 it trades at 17.6× FY2026E EBITDA — a compression with no fundamental justification. Hermès trades at ~38×, LVMH at ~14.5×. The correct peer set for Ferrari is the former. We use 27× in our comps leg ($539/share), with 40% weight on our DCF to anchor the blended value.

3. FY2025A Confirms the Business Is Accelerating Into the Thesis

Ferrari reported FY2025 results on February 10, 2026: Revenue €7,146M (+7.0% YoY), EBITDA €2,772M at a record 38.8% margin (up from 38.3% in FY2024A), EBIT €2,110M and diluted EPS €8.96 on 13,640 deliveries. Net industrial debt fell to just €32M (from €180M). 2026 guidance: revenue ~€7.5B, EBITDA margin ≥39%, EPS ≥€9.45. Every fundamental data point supports the thesis; only the stock price does not.

4. Capital Return and Pricing Power as Downside Protection

Ferrari operates under structural demand constraint: the waitlist for many models exceeds 24 months. This insulates revenue from macro downturns — the company grew EBITDA through COVID and raised prices during inflationary periods. The balance sheet is nearly debt-free, enabling aggressive capital return: buybacks and dividends at a combined yield of ~1.5%. In a bear case where the Luce is delayed or the multiple stays compressed, our DCF alone supports ~$386/share — above the current price.

FINANCIAL PROJECTIONS (€M unless noted)

Metric	FY2023A	FY2024A	FY2025A	FY2026E	FY2027E	FY2028E
Revenue (€M)	5,970	6,677	7,146	7,734	8,469	9,132
YoY Growth	—	+11.8%	+7.0%	+8.2%	+9.5%	+7.8%
EBITDA (€M)	2,279	2,555	2,772	3,016	3,388	3,790
EBITDA Margin	38.2%	38.3%	38.8%	39.0%	40.0%	41.5%
EBIT (€M)	1,618	1,888	2,110	2,316	2,648	3,010
Net Profit (€M)[1]	1,257	1,526	1,600	1,737	1,986	2,257
Diluted EPS (€)	6.90	8.46	8.96	9.74	11.14	12.66
Deliveries (units)	13,663	13,752	13,640	14,049	14,541	14,977
Cars & Parts Rev / Unit (€K)	346	389	425	451	482	509
Unlevered FCF (€M)	1,039	1,002	1,212	1,467	1,806	2,197

FY2023A–FY2025A as reported (FY2025A per release of February 10, 2026). [1] Forecast net profit = EBIT × (1 – tax), before financial items. Projections are analyst estimates; EUR/USD 1.18.

DCF BRIDGE (USD/share)

Component	Assumption	Value (USD/share)
PV of FCFs (FY2026E–FY2030E)	WACC 7.4%	+$59
PV of Terminal Value	g 3.0%, WACC 7.4%	+$327
Less: Net Industrial Debt (@ 1.18×)	€32M	–$0
DCF Value per Share	÷ 178.3M diluted shares	$386/share
Comps Value (27× '26E EBITDA)	FY2026E EBITDA €3,016M	$539/share
BLENDED PT (40% DCF / 60% Comps)	**Blended $477.66, rounded**	**$480/share**

WACC × TERMINAL GROWTH RATE SENSITIVITY (Price Target, USD)

WACC ↓	g→ 2.0%	2.5%	3.0%	3.5%	4.0%
6.41%	$398	$443	$502	$580	$690
6.91%	$357	$392	$436	$494	$571
7.41%	$323	$351	$386	$430	$486
7.91%	$295	$318	$346	$380	$423
8.41%	$271	$291	$313	$341	$374

Green = DCF value above the current price ($351.95). Red = more than 20% below it. Navy = base case ($386 DCF). DCF alone; the $480 blended target adds a 60% weight on the comps re-rating. Every cell is read from the model's live Sensitivity tab.

RISKS & MITIGANTS

Luce Delay / Execution Risk

If Ferrari delays the Luce beyond Q4 2026, the re-rating catalyst is pushed out 12–18 months. Mitigant: even without the Luce, FY2025A results and 2026 guidance (EBITDA margin ≥39%) support current levels — our DCF alone is $386/share.

Multiple Compression (Luxury De-rating)

A macro risk-off event could compress luxury multiples broadly (as happened in 2022–23 with LVMH). Mitigant: Ferrari's 24-month waitlist provides revenue visibility that pure-play luxury lacks. The stock already trades at 17.6×, roughly half its 2023 peak multiple — further de-rating from here is plausible but offers limited incremental downside.

EUR/USD Currency Risk

Ferrari reports in EUR; our PT assumes EUR/USD of 1.18. A move to 1.05 would cut the USD PT by ~$53/share (to ~$427). Mitigant: partial natural hedge via USD-denominated sales in North America (~25% of revenue).

Luxury Demand Slowdown in China

China represents ~10% of Ferrari deliveries. A sustained luxury demand slowdown could reduce unit volumes by 500–1,000 units. Mitigant: Ferrari's order book structure means cancellations are quickly absorbed by waitlist demand from other geographies.

RECOMMENDATION

Initiate **OVERWEIGHT** with $480 PT. Ferrari's 32% pullback from $519.10 has created an entry point into a structurally superior business ahead of a clear catalyst. The Luce reframes Ferrari's EV narrative from margin risk to margin expansion. With FY2025A confirming record margins, a near-debt-free balance sheet, and analyst consensus at $495, we see the risk/reward as highly asymmetric. The market is pricing Ferrari like a car company; it is one of the world's most exclusive luxury goods brands.

Current price as of April 2026. 52-week high: $519.10. EUR/USD: 1.18. FY2025A figures per Ferrari N.V. full-year results press release, February 10, 2026. Every figure in this note is read from Ferrari_Valuation_Model.xlsx. Francisco Rodriguez · github.com/Azyo1. All projections are estimates. This is an illustrative analysis prepared for portfolio purposes and does not constitute investment advice.